INTERIM UNION BUDGET 2024-25

CONFIDENCE IN CONTINUITY

By M.G. Arun



FULFILLING ASPIRATIONS Nirmala Sitharaman with her team before presenting the Union Budget, Feb. 1

No one expected Union finance minister Nirmala Sitharaman to make big-ticket announcements in the interim budget for 2024-25 she presented on February 1, considering the general election is just three months away. Sitharaman signalled a continuation of the policy measures of the Narendra Modi government, even as she adhered to the fiscal discipline that has been characteristic of her budgets in the past few years. The FM expects the fiscal deficit (the government's expenditure over its revenues) in FY25 to be 5.1 per cent of the GDP, in line with the Centre's aim to bring it below 4.5 per cent by FY26. The fiscal deficit for FY24 (revised estimates) stood at 5.8 per cent. The bigger roadmap for a Viksit Bharat, she said, would be presented in July, exuding confidence that the present regime will be back in power by then.

Sticking to convention, Sitharaman refrained from announcing any big welfare sops or tax cuts. "Development programmes in the last 10 years have targeted each and every household and individual, through housing for all, *har ghar jal*, electricity for all, cooking gas for all, bank accounts and financial services for all, in record time," she said. She did announce an 11 per cent increase in capital expenditure, though, which would translate to Rs 11 lakh crore or 3.4 per cent of the GDP. This comes on the back of a threefold rise in capex in the past four years to boost the country's infrastructure. "In an election year, the budget strikes a balance, prioritising sensibility over populism," says Trideep Bhattacharya, president & chief investment officer, equities, Edelweiss MF.

Some of her partymen were a little disappointed that she didn't increase the PM-Kisan Samman Nidhi disbursal amount from the existing Rs 6,000 annually, reform direct tax or reduce the burden of income tax on the middle class. However, the party's poll machinery gathered enough pointers to engage with the new constituency created by the BJP—*labharthis* or beneficiaries. Under the PM Awas Yojana (Grameen), 20 million houses will be built in the next five years, in addition to the 30 million houses already under construction. The Centre will launch a scheme to help deserving sections of the middle class "living in rented houses, or slums, or chawls and unauthorised colonies" to buy or build their own houses.

Three major economic railway corridor programmes will be implemented under PM Gati Shakti for multi-modal connectivity. They will improve logistics efficiency and reduce costs. Forty thousand normal rail bogies will be converted to Vande Bharat standards to enhance safety, convenience and passenger comfort.

Later, Prime Minister Modi addressed the nation, saying that the interim budget caters to four pillars of Viksit Bharat—youth, women, the poor and farmers. It is around these very constituencies that the BJP is building its campaign for the 2024 general election. "This interim budget is inclusive and innovative. It has the confidence of continuity," he added.

The FM did not disappoint those expecting some initiatives on the green energy front. The rooftop solarisation programme will see 10 million households getting 300 units of free electricity per month. This will amount to savings of Rs 15,000-18,000 annually for a household from free solar energy and selling the surplus to distribution companies.

"Budget 2024 has underlined once more the continuity in this government's economic policies with a sharpened approach towards accelerating the Indian economy through capital expenditure spending, green growth, digital infrastructure and innovation," says Neeraj Bansal, co-head & COO, India Global, KPMG.

Viability gap funding will be provided for harnessing offshore wind energy potential for an initial capacity of one gigawatt. A coal gasification and liquefaction capacity of 100 million tonnes will be set up by 2030. This will also help in reducing imports of natural gas, methanol and ammonia. Phased blending of compressed biogas in compressed natural gas for transport and piped natural gas for domestic purposes will be mandated. Greater adoption of e-buses for public transport networks will be encouraged. On the health front, more medical colleges will be set up, and girls in